CHAPTER 30

GERIATRIC CAPITALISM

Stagnation and Crisis in Western Capitalism

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Western European and North American capitalism experienced broadly similar patterns of industrialization and subsequent developmental trajectories. To be sure, there are important differences in national institutional settlements, due to uneven and combined development, geopolitical position within the international political economy, and contingent outcomes of national class struggle and compromise. Such national variations notwithstanding, Western Europe and North America developed through the same series of institutional stages: from competitive markets augmented by proto-developmental states to oligopolistic mass production for domestic markets with Keynesian welfare states to service-dominant, internationalized, and financialized capitalism with neoliberal states.

This remarkable similarity is no coincidence. As first fully appreciated and articulated by Marx and Engels ([1848] 1978), capitalist development is fundamentally global in its quest to establish the world market, to extract surplus-labor and resources from all corners of the Earth. But this is an uneven political economic process of territorialization, state formation, institutional regulation, and geopolitical stratification. Capital accumulation regimes—at the national, regional, and global level—are constituted and institutionally regulated by business organizations, states, and (particularly at the national level) labor unions.

International political economists focus on the global economy as a single system. Comparativists generally focus on the national level of analysis. Regulation theory has attempted to bridge the two, focusing mainly on comparative analysis of national accumulation regimes but appreciating that national economies have different levels of power and influence in the global political economy (Boyer 1988; Boyer and Saillard 2002). Within the regulationist tradition, the theory of variegated capitalism has articulated these connections most fully, emphasizing the multiscalar process of uneven and

combined development in which the institutional regulation of capitalist accumulation occurs at national, subnational, and supranational scales, including a stratified hierarchy of national states (Jessop 2012; Peck and Theodore 2007).

In this chapter I develop a variegated capitalism analysis of Atlantic capitalism as a transnational regime of accumulation, focusing on three of its largest national economies: America, Britain, and Germany. Such an analysis can be located within a long view of the evolution of the capitalist world system.

Beginning in the late Middle Ages, blocs of states and businesses emerged to control interstate competition for mobile capital (Arrighi 1999), resulting in a capitalist world-system with Western Europe and North America as its core. The core states appropriate surplus from peripheral states, with semiperipheral states providing a buffer of political stability (Wallerstein 1979). Within the core, a hegemonic state leads in material expansion (trade in commodities) and then, as the locus of material expansion shifts to a rising new hegemon, the declining hegemonic state transitions to financial expansion (trade in money) (Arrighi 1999). The first global capitalist hegemon was the Republic of Genoa from the fifteenth to the early seventeenth century, followed by the Dutch Republic from the late sixteenth through the eighteenth, the United Kingdom from the latter half of the eighteenth through the early twentieth century, and the United States from the late nineteenth century though its current phase of financialization.

Although each hegemon underwent a phase of material expansion followed by financial expansion, this is not simply the repetition of an identical cycle. In a single world system undergoing a process of development and maturation, each new cycle unfolds in institutionally distinct ways. In the British case, financialization initially occurred through a shift in the relative power of its sectors: a rise in the global influence of British finance capital in the last quarter of the nineteenth century occurred alongside an increase in manufacturing employment, which rose until peaking at 47% of total employment in 1960. By contrast, in the American case financialization in the 1970s occurred simultaneously with deindustrialization, the former entailing a far more encompassing, qualitative transformation of the political economy, including the penetration of nonfinancial corporations and households alike.

Here I trace the development of the national accumulation regimes in the United Kingdom, United States, and Germany and their consolidation into a transnational accumulation regime. Following the Great Depression and World War II, policymakers, reformers, and business leaders in Western Europe and North America explicitly crafted a transnational regulatory framework, which Jessop (2002) labelled Atlantic Fordism. The Fordist accumulation regime offset the stagnationist and crisis tendencies of capitalism for around two decades, seeing high profits and strong, wage-led growth. The crisis of Fordism that lasted through the 1970s marked the transition to what I call the geriatric stage of Atlantic capitalism.

This post-Fordist stage, roughly from the 1980s to the present, is characterized by slow growth, economic instability, and increasingly damaging economic crises; wage stagnation, rising inequality, and labor market precarity; and political polarization. Within the European Union, the neoliberal turn in the 1980s toward expansion based on negative

integration and monetary union, including Southern and Eastern European countries, resulted in the construction of a European accumulation regime encompassing economies of vastly different national growth regimes and unequal state capacities, resulting in deep distributive conflicts among regions unresolvable without supranational fiscal, welfare, and industrial policy (Jessop 2012; Ryner and Cafruny 2017).

1. The Institutional Regulation of Capitalist Accumulation Regimes

This section first develops Marxist crisis theory and then builds on this to articulate a regulation theory of accumulating regimes.

1.1 Crisis Tendencies and Stagnationist Tendencies

Marx's most developed discussion of the crisis tendencies of capitalism is Part III of *Capital,* Volume III (Marx [1894] 1981). The theory of the tendency of the rate of profit to fall in chapter 13 and of counteracting factors in chapter 14 is straightforward and clear. The theory articulated in chapter 15 of how these interact with the tendencies toward overproduction, overaccumulation, and underconsumption is convoluted and difficult.

Marx ([1894] 1981:350–352) began by noting that a falling profit rate "slows down the formation of new, independent capitals . . . promotes overproduction, speculation and crises, and leads to the existence of an excess of capital alongside a surplus population [i.e. to overaccumulation]." This statement is followed immediately by a discussion of how, although "it should never be forgotten that" the production of profit, not the satisfaction of needs, "is the immediate purpose and determining motive of capitalist production," this is "only the first act in the capitalist production process." The second act is the realization of profit by the sale of commodities. The conditions for the latter are restricted by "the proportionality between the different branches of production and by the society's power of consumption." The theory of disproportionality was articulated in *Capital,* Volume II ([1885] 1992).

In Volume III, Marx ([1894] 1981: 352) discussed how consumption of the workforce is conditioned by the antagonistic nature of the relations of production, "which reduce the consumption of the vast majority of society to a minimum level." This has provided a basis for a theory of underconsumption. Many marxists criticize the concept of underconsumption because it is allegedly associated with reformist politics and ostensibly conflicts with Marx's emphasis that the sole purpose of capitalism is the production of profit (e.g., Kliman 2012; Shaikh 1978). But this interpretation ignores Marx's explicit statement that capitalist production consists of two acts: the production of surplus value in the labor process and its subsequent realization (or not) in the market. Further, in

Marx's usage the restriction of purchasing power is only one side of a contradictory relation, the other side being a tendency of capital to increase production without regard for the limits of the market (Clarke 1990).

Marx saw the tendency of the rate of profit to fall as "the most important law of modern political economy" ([1857–1858] 1993:748) because it is an "expression for the progressive development of the social productivity of labor" ([1894] 1981: 18). That is, competitive pressure to increase productivity necessarily leads to growing use of machinery and other forms of fixed capital relative to labor. In more technical terms, the ratio of fixed capital to labor (the organic composition of capital) increases. Because labor is the sole source of new value, a rising organic composition of capital pushes the profit rate down. Importantly, however, there are several counteracting tendencies that push profits upward, including an increase in the rate of exploitation of labor, a reduction of wages, and reduction in the cost of capital goods due to productivity improvements or devaluation.

Marx then discussed of the "internal contradictions" of capitalist production rooted in the tendency of the rate of profit to fall. Capitalist production contains immanent barriers, which are expressions of an internal contradiction: the compulsion to develop the productive forces without limit conflicts with the need to maintain and increase the value of existing capital (Marx [1894] 1981). Productivity increases are generated by increasing investment in fixed capital relative to labor, which drives the profit rate down, thus slowing down capital accumulation (one internal barrier). The introduction of more productive machines or cheaper machines, however, also devalues existing fixed capital and raises the rate of profit. Although the raised profit rate spurs investment, devaluations of capital disturb circulation, leading to production stoppages and crises (a second internal barrier).

The same tendency to develop the productive forces with limit, which drives a declining profit rate, also leads to overaccumulation, which is the source of major economic and financial crises. Absolute overaccumulation of capital—which always happens alongside the overproduction of commodities—occurs when there is a surplus of capital that cannot be used for further production (Marx [1894] 1981). Overaccumulation of capital increases competition and leads to a drop in prices. Because the credit system develops chains of credit and debt, if a price drop is sufficiently widespread and deep, it will generate a breakdown in the credit system and a general crisis (Choonara 2018). This results in the widespread devaluation of capital and a wave of bankruptcies, which set the conditions for renewed profitability. The cycle begins again.

Even in a restricted market, when facing competitive pressures there is a tendency to maintain or increase production levels (Clarke 1990). More advanced (efficient) capitalists will reduce prices and expand production to increase market share, while less successful capitalists will attempt to maintain prices as well as production levels. The availability of credit allows capitalists to continually develop the productive forces, without regard for the limited market. Such credit-fueled investment routinely generates overproduction, which takes one of two forms.

One form of overproduction is disproportionality between branches of production. Disproportions may occur between the supply of and demand for producer goods or

between depreciated capital and new investment capital (Hilferding [1910] 2006). Overproduction tends to take place in the most capital-intensive industries, in particular the producer goods sector, which outpaces growth in the less capital-intensive sectors, notably consumer goods. The second form of overproduction is in consumer goods. In either case, overproduction will periodically metastasize into a crisis of overaccumulation.

Another form this internal contradiction takes is "between the conditions in which this surplus-value [is] produced and the conditions in which it [is] realized" (Marx [1894] 1981:353, 365). Such demand could theoretically come from either capitalist investment or consumer demand. Marx emphasized the restriction of consumer demand, particularly under the tendency of the profit rate to fall. Pushing wages below their value is a way of propping up the profit rate, and capitalist development tends to increase under- and unemployment. Indeed, it is *because* "capital's purpose is not the satisfaction of needs but the production of profit" that "there must be a constant tension between the restricted consumption on the capitalist basis, and a production that is constantly striving to overcome these immanent barriers" on the side of production.

While underconsumption and overproduction are to a certain extent two sides of the same coin, they have different causes and outcomes. Overproduction is generated by competition between capitals in an anarchic market, and as such may lead to crises of overaccumulation. Underconsumption is driven by class struggle as capital attempts to maintain profits by reducing wages. It does not lead *directly* to overaccumulation but is a source of stagnation and as such may intensify the competitive struggle between capitals, hence contributing to overaccumulation.

Following Harvey (2010), I reserve the term "crisis" for periods of large-scale devaluations of capital, extensive bankruptcies, and widespread corporate restructuring. These are typically preceded by an extended recession and often associated with bubbles (due to speculation with surplus capital). Global crises fitting this description have occurred in 1857, 1873, 1929, 1973, and 2008.

I thus refer to the other tendencies—a falling profit rate or underconsumption—as *stagnationist* tendencies (Vidal 2013b). They do not lead directly to crises of overaccumulation but dampen growth, intensify competition, increase fragility and instability, and exacerbate the tendencies toward overproduction and overaccumulation. The profit rate also may be reduced if a class compromise between capital and labor results in an increased wage share, resulting in a profit squeeze (Glyn et al. 2007; Mohun 2009; Wolff 2003).

Finally, drawing from post-Keynesian economics, a third stagnationist tendency is debt-led growth (Onaran et al. 2010). This theory distinguishes investment-led regimes, where investment demand internally drives growth, from wage-led regimes, where consumer demand drives growth. Debt-led regimes are wage-led regimes in which consumer credit plays a significant role sustaining consumer demand. Debt-led regimes are fragile because high debt servicing levels mean that even temporary reductions in income will

lead to increasing defaults (Stockhammer 2012). Alternatively, a regime is export-led when exports are a significant component of demand.

We now turn to regulation theory to flesh out a theory of the transition from the functional stage of Fordism, in which all of the stagnationist tendencies were offset, to the dysfunctional stage of post-Fordism in which these stagnationist tendencies have been unleashed and crisis tendencies exacerbated.

1.2 From Production Regimes to National and International Regimes of Accumulation

Building on Marx's reproduction schemes, Aglietta ([1976] 2000) presented a theory of capitalist regulation based on the US case, showing how relatively stable, internally driven growth could happen only when there was proportionality between the producer and consumer goods sectors. The Fordist regime established intensive growth based on rising real wages via a class compromise with unions, vertically integrated, internalized employment, and a Keynesian welfare state. Regulation theory has subsequently distinguished five regulatory domains: work and employment relations, forms of competition, money and credit, the state, and the insertion of the national economy into the international system (Boyer 1988; Boyer and Saillard 2002).

Our analysis begins with the production model (work and employment relations) as the starting level of analysis and then examines the co-formation of national accumulation regimes (forms of competition and the state) and the international, Atlantic accumulation regime under US hegemony. Within this complex ecology of accumulation regimes, the performance of national regimes depends on internal and external conditions, including the role of the United States as global hegemon and the dominance of Germany within Europe (Jessop 2012).

1.3 Functional and Dysfunctional Accumulation Regimes

The institutional regulation of capitalism is multiscalar, including national regimes embedded in international regimes. But due to the sovereignty of national states (legislatures, military, etc.), the national accumulation regime remains the primary unit of institutional regulation and economic performance. In assessing such performance, I distinguish between functional and dysfunctional accumulation regimes (Vidal 2013b).

An accumulation regime is *functional* when all of the stagnation tendencies have been offset. In other words, there will be high profits based on wage-led demand leading to strong growth (above 3% per annum). An accumulation regime is *dysfunctional* when one or more stagnation tendencies has become manifest, but the economy remains out of crisis for an extended period.

2. Models of Production in the United Kingdom, United States, and Germany

Following the industrial revolution, British firms enjoyed access to the fragmented and heterogeneous markets of the British Empire, making a wide range of products, with little incentive to standardize products or develop mass production methods (Gospel 2014).[1] Around the turn of the twentieth century, UK engineers lost out in a struggle with accountants for control of general management, leading to a continued failure to emphasize standardization (Ackroyd and Lawrenson 1996). Further, the informal shop steward movement gained substantial control over the shop-floor (Lewchuk 1983). The foregoing developments provided a basis of the persistence of craft control through the 1920s.

2.1 Classical Fordism in the United States

Standardized production was realized in the nineteenth century under the guidance and funding of the Federal government. It spread from armaments to sewing machines, bicycles, and farm implements. While the latter all marketed their products in the top price category, Ford designed the Model T as a "car for the masses," being the first to pursue a high-volume, low-cost strategy (Hounshell 1984).

In my analysis, the Model-T system—based on flow production and single-purpose machinery—was a transitional production model that, after two refinements introduced by GM, became a generalized production model widely known as *classical Fordism*. Like the Model T system, classical Fordism is based on the high-volume production of standardized parts for mass markets. GM introduced two critical adaptations with its strategy of more diversified but still highly standardized products: general-purpose machines and decentralized batch production.

Ford's attempt to solve the problem of soldiering, of course, was the five-dollar day wage. This reduced labor turnover and increased productivity—but only for a short period (Lazonick 1983). As productivity increases began to slow and competition began to catch up in the 1930s, Ford was no longer able to afford such a high wage. Close supervision could not ensure reliable and attentive workers either. The solution was found in providing internal labor markets, including not only promotion ladders but administratively determined wages associated with positions on the ladder.

This Fordist model—mass production of standardized products using Taylorist work organization, general-purpose machines, and batch production in vertically integrated firms with internal labor markets—spread widely across the US economy.

[1] This section summarizes historical material presented in Vidal (2015).

Fordist principles—high volumes, standardization, and Taylorism—were even adopted in leading service companies, most prominently by McDonald's and the emerging fast food industry.

Finally, following the path-breaking innovations of Toyota, the model of lean production began diffusing to Europe and North America in the 1980s and by the 2000s was the dominant model throughout the manufacturing world (Vidal 2011). It consists of demand-driven rather than forecast-driven production, continuous flow production based on just-in-time inventory and production control principles. Under the lean model, process standardization is central, but it now involves workers in problem solving and—in principle and occasionally in practice—decision making (Adler 1995). Similar principles—customer focus, flow production, neo-Taylorism—are being widely implemented in the service sector, with the health care, banking and insurance, and civil service sectors leading the way. And there has been a dramatic move toward vertical disintegration, which has eliminated or truncated internal labor markets and been implemented along with a return to market determination of wages (Vidal 2013a).

2.2 Reluctant Fordism in the United Kingdom

A large firm sector began to emerge before World War I, and industrial concentration rapidly increased during the 1920s. Oligopolies were established in chemicals, electrical engineering, food, drink, and tobacco (Gospel 1992). During the war the government encouraged standardization of parts and products, there was an increasing use of mechanization and semi-skilled workers, and the stable markets created by the war gave further impetus to the development of mass production methods (Gospel 1992; Littler 1982). During the Great Depression, Britain turned to protectionism and collusion, which greatly facilitated vertical integration and the introduction of internal labor markets (Gospel 2014).

The production model that Britain achieved by the postwar period may be referred to as *reluctant Fordism*. Fordist ideas were resisted for years and never fully accepted by a large proportion of British management. The British regime deviated from classical Fordism in two respects. First, a modified form of Taylorism, the Bedaux system, was adopted, which allowed skilled workers to remain more important to production than in the United States (Littler 1982). Second, the United Kingdom remained less vertically integrated than the United States.

Finally, after some experimentation with competing models in the 1980s, by the 1990s lean production was the dominant model within the United Kingdom.

2.3 Flexible Fordism in Germany

In some respects, German moves toward Fordist-type organization occurred earlier than in the United States. Most importantly, as early as 1887, fourteen of the top 100 largest

firms were fully integrated, and by 1907, sixty-two of the top 100 were (Kocka 1980). These firms were also highly diversified, more so than US firms at the time (Chandler and Daems 1980). Cartels were widely seen as legitimate forms of business organization.

The development of professional and bureaucratic management took place around the same time as the United States and earlier than the United Kingdom (Kocka 1980). The emphasis on technical training and engineering was strong in Germany, following the bureaucratic tradition of German absolutism (Homburg 1983).

During the interwar period mass production was introduced in the steel, auto, light machinery, and textile industries (Herrigel 1996:150). As early as World War I, Daimler and Benz were adopting methods along the lines of classical Fordism: a mix of dedicated and general-purpose tools, volume production in large batches based on functional (rather than flow) organization, and increased vertical integration. Over the interwar period, the remaining small-batch, custom machinery producers began to produce standard machines, and along with this increased standardization and volumes. The consolidation of the Fordist model occurred rapidly after World War II. Under the Marshall Plan, the Economic Cooperation Administration (ECA), and the Office of Military Government, United States (OMGUS) explicitly adopted Fordist mass production as its model, understood as "large, mass producing corporations [competing] on oligopolistic markets" (Djelic 1998: 104).

In the postwar period the dominant production model in Germany came to be *flexible Fordism*. German manufacturing widely adopted standardized parts, general-purpose machinery, and forecast-driven, high-volume batch production but achieved more flexibility through a system of democratic Taylorism (Adler 1995), which was institutionalized in the Works Councils Act of 1952.

Germany's form of flexible Fordism persisted into the 1980s. Like the United States and United Kingdom, by the 1990s lean production had become dominant in Germany.

3. The Construction of Atlantic Fordism and the Golden Age

This section discusses key institutions of the Fordist accumulation regime at the international and national levels.

3.1 The Bretton Woods Monetary System and the European Communities

In the liberal system of international finance during the late nineteenth and early twentieth centuries, speculative flows caused severe volatility in exchange rates and trade relations. These speculative flows were widely seen as having been a central cause of the

Great Depression (Helleiner 1994). After 1931, states turned to protectionism and capital controls. Private and central bankers lost influence and were displaced from positions of power by a coalition of Keynesian-oriented state policymakers, industrialists, and labor leaders. This shift in class coalitions made possible the Bretton Woods agreement of 1944, which established a system of capital controls necessary to protect the policy autonomy of Keynesian welfare states (Djelic 1998; Ryner and Cafruny 2017).

Even before World War II, economic developments such as cross-national mergers and movements toward Fordist mass production were pushing toward European integration. The emerging Fordist growth regime required large markets and regulatory coordination over larger economic areas than covered by its small and moderately sized states, giving European capital strong interest in economic integration. Following the war, such integration took place under American hegemony and, as such, the construction of the European Union must be understood as an "expression of Franco-German relations in the context of triangular diplomacy between Bonn/Berlin, Washington, and Paris" (Ryner and Cafruny 2017: 174).

American geopolitical and economic interests loomed large. Although the origins of NATO lie in the 1948 Treaty of Brussels (the United Kingdom, France, Belgium, the Netherlands, and Luxembourg), these countries did not have the military might to contain the Soviet Union. The North Atlantic Treaty was signed in 1949, under US leadership. Both the United States and the United Kingdom saw a thriving German market economy as necessary for the success of Soviet containment.

The US led postwar reconstruction financially and politically via the Marshall Plan, the Organization for European Economic Cooperation, the American Committee on United Europe (ACUE), and the Economic Cooperation Administration (ECA), all established in 1948. Several institutions rapidly followed, including the European Payments Union in 1950, the European Coal and Steel Community in 1951, and the European Economic Community or Common Market in 1957. Tariffs were removed within much of Western Europe, creating a large internal European mass market similar to that of the United States (Maddison 1987).

Under American and French leadership, the explicit goal of early European integration was to develop Fordist institutions, including Keynesian and corporatist institutions at the national level and, at the European level, more positive integration based on deep political integration around a model of regulated capitalism (Jessop 2012). Indeed, "fordism was actively promoted in Europe after World War II, with similar economic and social reforms: the Beveridge Reforms in Britain; the 'social state' enshrined in West Germany's Basic Law; and the social security programme formulated by the French National Council of Resistance" (Ryner and Cafruny 2017: 34). Combined with the Bretton Woods system, the establishment of Fordist states and transnational institutions resulted in the consolidation of a regime of embedded liberal, Atlantic Fordism, balancing economic openness and state autonomy.

The Bretton Woods system and the Common Market undergirded a Fordist dynamic of domestic mass production and mass consumption in the United States and Western

Europe. From 1950 to 1973, GDP growth rates in the top five OECD economies averaged a remarkable 5.4%, a level not seen before or after. Productivity averaged 4.9%, with rates before and after rarely approaching even half of that.

3.2 Fordist Accumulation Regimes in the United States, Germany, and the United Kingdom

The Fordist regime of accumulation was instituted in three distinct forms across the three countries. The American regime of *liberal Fordism* included a liberal welfare state and highly marketized relations between finance and industry. The German regime of *nonliberal Fordism* included a quasi-corporatist welfare state and industrial relations institutions along with deeply integrated, long-term relations between finance and industrial capital. The British regime of *blocked Fordism* failed to realize a national class compromise and lacked integration between finance and industry (Peck and Theodore 2007). Below I compare the three countries on six points.

First, the core sector of employment in all three countries in the 1950s and 1960s was manufacturing, and in each country this sector was oligopolistic. Second, all three growth regimes were based on a virtuous circle of domestic mass production and mass consumption—in Western Europe this included a combination of domestic markets and trade within the European Common Market. According to OECD data, the United States was effectively a self-contained economy, with total imports accounting for only 2.9% of GDP in 1962, and exports just 3.8%. Western Europe (including the United Kingdom and Turkey, as defined by the OECD) was nearly as self-contained. Total imports accounted for 7.2% and exports just 5.5% of GDP in 1962.[2] Through the late 1960s, trade between countries was complementary, with little head-to-head trade in competing product lines (Tolliday and Zeitlin 1992). Only after domestic/regional markets became saturated and overcapacity began to bite at the end of the 1960s did large producers begin to engage in direct international competition.

Third, producers were the most powerful firms in the economy. While there was a high degree of vertical integration during the Fordist period, it was still common for such companies to subcontract for many components. In these Fordist supply chains, giant producers exercised powerful control over both forward and backward linkages (Gereffi 1994). Over time, as Fordist producers began to vertically disintegrate and globalize production via complex supply chains, there was a shift in power away from manufacturers to large retailers, who began to exercise control over supply chains and often to dictate the terms of production.

[2] Europe is defined by the OECD for these statistics to include Austria, Belgium, Denmark, Finland, France, Germany, Greece, Iceland, Ireland, Italy, Luxembourg, Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, United Kingdom.

Fourth, all Keynesian states emphasized the use of fiscal and monetary policy to achieve demand management and full employment. The Keynesian welfare states in the United States and United Kingdom were heavily liberal (with the important exception of the British National Health Service). In contrast, the German Keynesian welfare state is of a conservative-corporatist type, which plays a more interventionist role in the provision of social welfare with welfare rights attached to status and class.

Fifth, the United States and Germany realized institutionalized forms of class compromise, while the United Kingdom did not. In the United States this began with the National Labor Relations Act of 1935 and was fully realized in the Treaty of Detroit, the 1950 agreement between General Motors and the United Auto Workers, in which unions agreed to participate in productivity initiatives in exchange for wages being linked to productivity increases and with annual cost-of-living adjustments. The Treaty established a pattern that was widely emulated across industry. In Germany, a class compromise was institutionalized through centralized, national-level bargaining, beginning with the 1956 Bremen Agreement in the metal industry (Herrigel 1996). In both countries the institutionalization of class compromise via collective bargaining dovetailed with oligopolistic domestic or regional markets to effectively take wages out of competition and realize a high-wage economy to drive demand.

By contrast, the United Kingdom never realized an institutionalized class compromise. Industry-level bargaining was the dominant form until the institutions supporting it began to collapse in the 1950s. Intensified workplace-level conflict under Fordist standardization was unsanctioned and uncontrolled by the national Trades Union Congress. This resulted in a shift to workplace bargaining to establish local mechanisms for negotiating change. Along with rising strikes came wage drift, as local contracts exceeded the industry-level minimums (Gospel 1992; Howell 2005).

Finally, the United States and Germany each realized a distinct form of integration of financial and industrial capital, while the United Kingdom failed to do so. In the United States, industry was financed from the late nineteenth century via large investment banks. In Germany, each industrial concern was typically in a long-term, collaborative relationship with a *Hausbank*, a universal bank providing comprehensive services. By contrast, in the nineteenth century, UK banks had a commercial rather than industrial orientation. The City of London was engaged more in intermediation between investors and borrowers than long-term investment (Lash and Urry 1987). The long legacy of problematic integration between finance and industry contributed to capital underinvestment in British industry—between 1913 and 1950, average annual compound capital productivity growth rates averaged just 13% in the United Kingdom versus 56% in Germany and 96% in the United States (Maddison 1987).

In the US case, there is strong evidence that the Fordist regime effectively offset the capitalist crisis and stagnation tendencies for fifteen or so years. The profit rate in the Fordist period was high initially because it followed a massive decline in the value of fixed capital and the nominal value of financial assets during the Great Depression

and World War II (Kliman 2012). A rise in the organic composition of capital was offset by a continuous rise in productivity (Wolff 2003) generated by Fordist methods and intensive growth (Aglietta [1976] 2000). Underconsumptionism was offset by rising real wages (Lipietz 1986) and overproduction moderated through nationally bound, oligopolistic competition, again with balanced growth via standardized mass production and institutional supports for mass consumption (Aglietta [1976] 2000). Similar conditions and outcomes obtained, to a greater or lesser degree, in Germany and the UK.

4. The Crisis of Fordism

The first measure of the crisis of Fordism is the profit rate.[3] As shown in Figure 30.1, the US corporate profit rate was high from 1945 to 1965, averaging 21%. It began a steady decline from 1965 to a trough of 9% in 1982 (averaging 15% in the latter period), rising from that trough to a post-1970s peak of 16% in 1997 and 18% in 2006 (averaging 13% between 1983 and 2006).

Figure 30.2 presents profit rates for the United Kingdom. The corporate profit rate was 44% in 1950, artificially high due to the effects of the Great Depression and World War II on reducing the fixed capital stock. Following massive capital devaluation during the Depression, the German Blitz of 1940–1941 caused extensive destruction of infrastructure. Further, there was a sharp reduction of investment in fixed assets for consumer goods production as war production was prioritized. Postwar reconversion to peacetime production was slow and rations were not eliminated until 1950, some remaining until 1954. The total economy profit rate in 1963 (the first year available) was 16%. Both measures fell more or less continuously in the postwar period until hitting a low of just 7% and 8%, respectively, in 1975. Both remained at or below 10% until 1981, after which both began a slight recovery with peaks of 16% and 20%, respectively, in 2007 as the global financial crisis began.

Figure 30.3 presents three different estimates for Germany. By the broad measure, it peaked at 16% in 1963 and again at 16% in 1968, then dropped steadily to a trough of 8% in 1981, thereafter recovering slightly to a peak of 10% in 1994, the last year for which there are data on these measures. Based on the same numerator and a similar denominator measuring private fixed capital, the German profit rate recovered slightly further to 11% in 2007.

In sum, the US profit rate began a steady drop from 1965 and the German rate from 1968. The UK profit rate began a continuous decline from the inflated postwar high in 1950.

[3] For the United States and United Kingdom I use corporate profit as a proportion of net capital stock at historical costs. Because data specific to the corporate sector are not available for Germany, I present a broader measure of the profit rate using net operating surplus of the total economy as a proportion of private net stock, excluding dwellings and government services.



FIGURE 30.1. Profit rates, United States

Source: For corporate: US Bureau of Economic Analysis (NIPA Table 1.14, line 11); Fixed Assets (Table 6.3, line 2). For total economy: National Accounts of OECD Countries, Volume II, Detailed Tables, 1963-1969, print; OECD iLibrary, 1970–1996; Flows and Stocks of Fixed Capital, 1963–1996, print.

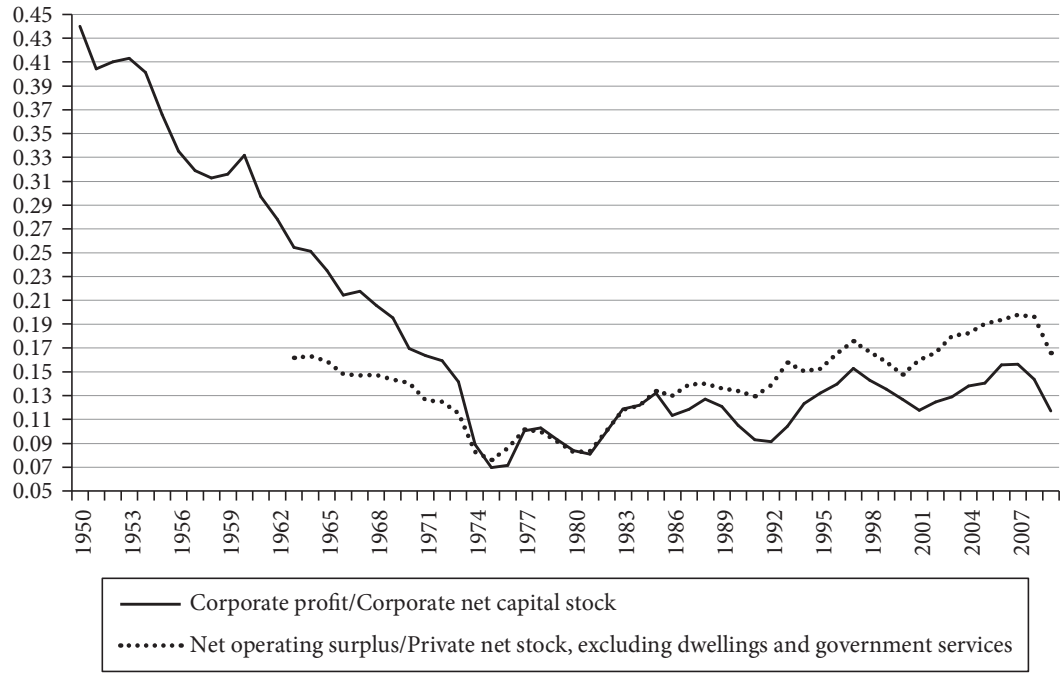


FIGURE 30.2. Profit rates, United Kingdom

Source: For corporate: Historical data on gross operating surplus, consumption of fixed capital, and net capital stock, all for private nonfinancial and financial corporations, provided by various members of the UK Office of National Statistics. For total economy: National Accounts of OECD Countries, Volume II, Detailed Tables, 1963–1969, print; OECD iLibrary, 1970–2009; Flows and Stocks of Fixed Capital, 1963–1993, print; UK ONS, 1994-2009.

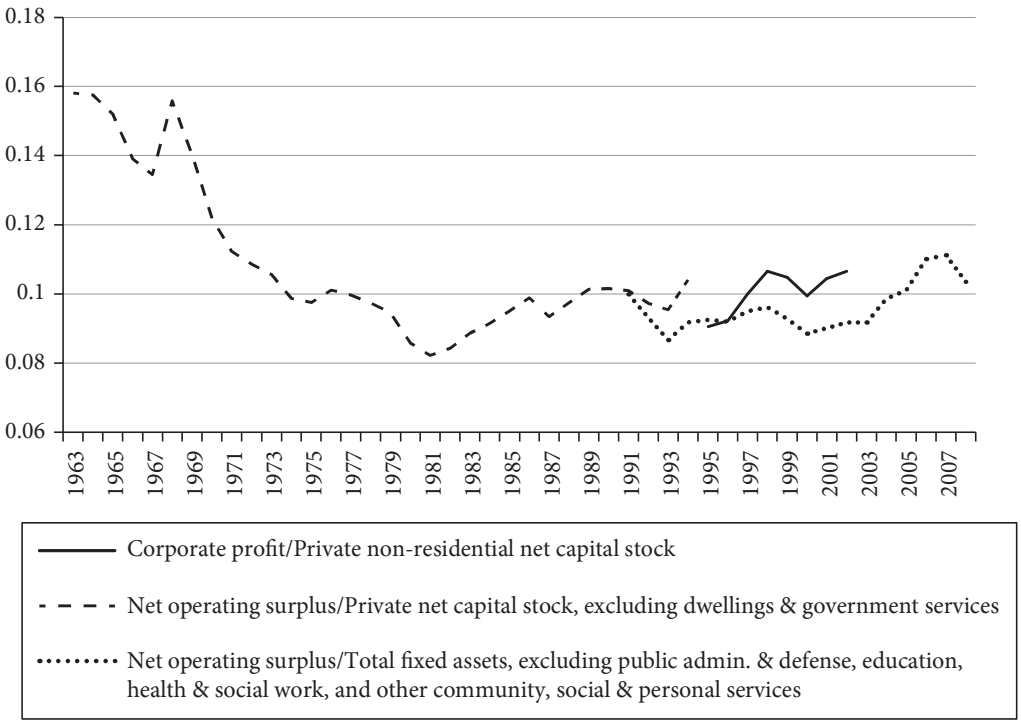


FIGURE 30.3. Profit rates, Germany

Source: For corporate: OECD iLibrary; Database on Capital Stocks in OECD Countries, Kiel Institute for the World Economy. For total economy: OECD iLibrary, 1963-2008; Flows and Stocks of Fixed Capital, 1963–1994, print; OECD iLibrary, 1991–2008.

Evidence demonstrates that the profit rate decline was driven in part by a rising organic composition of capital in the United States (Shaikh 1987), Germany, the United Kingdom, and France (Duménil and Lévy 2004). The evidence also indicates that a profit squeeze due to an increasing labor share of income also contributed to the profit rate decline in the United States (Wolff 2003), Germany, the United Kingdom, France, Italy, and Japan (Glyn et al. 2007).

Following the profit rate declines across the OECD, 1973 was a watershed year in the crisis of Fordism. That year saw marked declines in output, productivity, profit rates, and export growth, along with increased export and GDP instability, across the OECD (Glyn et al. 2007). Stagflation, which hit the United Kingdom in the late 1960s, became a problem in many other OECD economies beginning in 1973 and lasting until 1982.

Further, the Bretton Woods system collapsed in 1973. By the early 1970s unilateral capital controls were unable to contain speculative flows. Following a massive round of capital flight from the United States to Europe in 1971, the former suspended gold convertibility, forcing Europe and Japan to temporarily float their currencies. The Europeans tightened their capital controls in an attempt to stop the revaluation of their currencies, but they failed, and in 1973 they permanently floated their exchange rates, signaling the end of the Bretton Woods system.

The 1970s thus began a long crisis of overaccumulation and the dismantling of fordist institutions.

5. The Construction of Atlantic Post-Fordism and the Geriatric Stage

This section discusses organizational changes at the firm level and institutional changes at the international and national levels, all of which marked the transition from Fordism to post-Fordism.

5.1 Internationalization, Financialization, and Employment Externalization

In response to the crisis of Fordism, capital engaged in widespread restructuring, accelerating the changing division of labor through global outsourcing of manufacturing and increased investment in the domestic service sector, resulting in a shift in power from manufacturing firms toward large retailers controlling global supply chains. In the United States, the top-ten largest employers in 1955 were all manufacturers, while the top twenty-five in 2011 included only two manufacturers, seven general merchandisers, and three restaurant groups (Vidal 2013a).

In theorizing this transition from Fordism to post-Fordism, Boyer (2000) has emphasized the changing articulation among institutional domains. The so-called standard model of employment—full-time, long-term employment with a single employer, including security and opportunities for training and promotion—was historically specific to the Fordist regime. This model was made possible because competition and finance were subordinated to work and employment relations, the former through oligopolistic competition in the core manufacturing sector, the latter because Fordism still provided—in the early years—opportunities for intensive growth and profit based on domestic mass consumption. Under post-Fordist restructuring and neoliberal deregulation, competition and finance have come to dominate employment relations. Most importantly, wages have been put back at the center of competition. Finance has shifted from playing an intermediary role to a more dominant—and parasitic—role focused on rent extraction (Jessop 2012).

In terms of employment, Fordism was characterized by a logic of internalized employment relations, meaning that best business practice was understood to include vertically integrated firms with internal labor markets, including job ladders with well-defined training and promotion opportunities, and administratively determined wages associated with positions rather than individuals. The internationalization of production and the rise of the shareholder value model of the firm (Lazonick and O'Sullivan 2000) combined to generate a new predominant logic of externalized employment relations: outsourcing and deunionization; reduced employment security, training, and promotion opportunities; and market determination of wages (Vidal 2013a). The shareholder value model ensured that the externalization logic

took hold even in core service sectors like retail sales, leisure, and hospitality that are ostensibly more shielded from international wage competition than jobs subject to offshoring.

Financialization took many forms, including the extraction of profit directly from wages via credit-financed consumption (Lapavitsas 2011) and an astronomical rise in speculation (Foster and Magdoff 2009). But it was driven by the need to generate profits in response to overaccumulation. Total capacity utilization in the United States averaged 87.2% from 1967-69, 82.8% in the 1970s, 79.6% in the 1980s, 82.4% in the 1990s, and 77.4% in the 2000s, demonstrating increasing overcapacity.[4]

We will now discuss some systemic problems with the Atlantic post-Fordist accumulation regime before examining the macroeconomics of the national accumulation regimes.

5.2 Dysfunctional International Regimes

The multilevel Fordist accumulation regime allowed state autonomy to pursue Keynesian demand-management and Beveridgean welfare state policies, and domestically oriented national production regimes with little head-to-head international competition in product markets. The collapse of the Bretton Woods system provided a structural impetus for the turn to neoliberalism, but the 1970s stagflation provided the political legitimacy for the hegemony of the finance fraction of capital, from the monetarist, deregulatory state to the financialization of the corporation (Davis 2009; Fligstein 1990; Krippner 2005). Within the state, the neoliberal turn was cemented in in 1979–1980 with the appointment of Paul Volcker to the Fed and the election of Thatcher in the United Kingdom and Reagan in the United States.

The ascendency of neoliberalism had a profound effect on the European Union. During the 1980s EU integration shifted to a neoliberal orientation (Jessop 2012; Ryner and Cafruny 2017). The Single European Act (1992) established the Single European Market while the Maastricht Treaty (1992) established the European Union and Economic and Monetary Union. The latter specified an emphasis on price stability (at the expense of unemployment), further codified in the Stability and Growth Pact (1998–1999). The Lisbon Agenda (2000) emphasized financial liberalization and labor market flexibility. Finally, eastern enlargement provided pools of cheap labor.

The resulting system of governance is what Ryner and Cafruny (2017) refer to as asymmetrical regulation: supranational regulation of competition policy, finance policy, and corporate governance, with intergovernmentalism in fiscal and welfare policy (the latter two severely constrained by the former and by the more general internationalization of finance). Such asymmetrical regulation is incapable of managing the structural differences between Northern and Southern Europe and Western and Eastern Europe. The underlying core-periphery nature of the enlarged European Union—including

[4] *Economic Report of the President, 2012*, Table B-54.

distinct national accumulation regimes, state capacities, and roles in the international economy—is a structural problem exacerbated by negative integration, that is, a lack of common EU fiscal policy, welfare policy, and industrial policy (Jessop 2012; Ryner and Cafruny 2017). For instance, the need for deflationary bias to support the export-led strategies of Germany and Northern Europe precludes the kind of deficit spending necessary to stimulate growth and development in the Southern European economies.

At the global level, one of the central concerns is the dependence of the United States on cheap Chinese imports and the $375 billion US-China trade deficit. The flood of cheap goods into the United States under its Waltonist (Walmartist) growth regime has allowed the continued production of relative surplus value in the United States by reducing the value of labor (Vidal 2012). That is, the provision of cheap goods based on global labor arbitrage has allowed the American working class to maintain its living standards despite three decades of wage stagnation. But China is developing rapidly, and the cost of consumer goods will rise accordingly. It is unclear whether other low-wage countries have the industrial capability and capacity to provide cheap consumer goods at the scale required to serve the American working class.

Further, the ability of the United States as global hegemon to make its currency the world currency allows it to run gigantic trade deficits. While mainstream economists generally do not see such large deficits as unsustainable, if US hegemony continues to decline—which the history of the world system suggests is not only inevitable but in progress as the economy financializes (Arrighi 1999)—its deficits (trade and fiscal) become more ominous. US hegemony is being maintained largely by its financial and military dominance, as it increasingly cedes its leadership in production via global outsourcing of production and political leadership under "the rise of political paralysis at home and unruly multipolarity abroad" (Jessop 2012: 107). There are thus serious questions about the long- or even mid-term sustainability of the current internationalized US regime of accumulation.

Finally, we turn to the macroeconomics of the national regimes. It should be emphasized that a central source of the dysfunctionality of these national regimes is the internationalized nature of competition and in particular the return of destructive, wage-based competition.

5.3 Dysfunctional National Regimes

In response to the declining profit rate, US capital began a sustained and multipronged assault on labor, attempting to recover profits out of wages (Lipietz 1982).[5] Figure 30.4 shows the wage share (total compensation) for the United States peaked at 68% in 1982 and fell to troughs of 64% in 1997 and 63% in 2010–2011. The wage share did bump up to 66% in 2001–2002, reflecting the hit to profits from the 2001 recession ending the

[5] This section summarizes empirical findings presented in Vidal (2013b).

decade-long 1990s boom, suggesting firms were not able to lay off workers fast enough to sustain profits. Importantly, however, nonwage forms of compensation—mainly health care—have risen more quickly than wages, meaning that the actual income received by employees has dropped even more sharply, from a peak of 60% in 1970 to 51% in 2005 (Kliman 2012).

In the United Kingdom, labor's share averaged 66% from 1960–1973, spiked briefly to 74% in 1975 before dropping to an average of 68% over 1977–1980 and then dropping to troughs of 58% in 1997 and 60% in 2008. The average for the period from 1960–1980 was 67% versus 62% for 1981–2011. The spike in labor's share from 1973–1975 reflects the hit on profits from the deep recession beginning in 1973 and likewise the 1991 recession produced a brief bump in labor's share. The profit rate had a slight recovery after 1980, and the data suggest that a decline in labor's share helped drive the slight reversal of the long decline, although the UK private sector also failed to see a sustained recovery, its profit rate averaging just 12% over the 1981–2009 period.

In Germany labor's share rose steadily from a much lower point of 50% in 1960 to a peak of 65% in 1981 and another peak of 66% in 1993, falling after that to a trough of 57% in 2007. Germany has not seen a sustained recovery of the profit rate to Fordist levels, although an upward trend began in 1981 with a faster rise starting in 1993. The decline in German labor's wage share did not occur until later that the other countries, with a sharp decline in 1993, dropping 9 percentage points by 2007, providing a boost to the profit rate.

Figure 30.4 charts union density rates alongside the wage share. A visual inspection suggests that in all three countries the two trends are closely linked, particularly in the post-Fordist era. The simple correlation for union density and labor's share between 1975–2010 is .63 for the United States, .71 for the United Kingdom, and .72 for Germany. In terms of causality, these high correlations are consistent with the standard understanding of unions as organizations designed to bargain for increases in member wages. The higher correlations in the United Kingdom and Germany reflect the more powerful unions and mutli-employer and sectoral bargaining, respectively, in these countries, as against the weaker US union movement and decentralized industrial relations system.

Figure 30.5 presents decennial GDP growth rates. By the mainstream standard of 3% as the normal level of annual growth, Fordist growth in the United States and the United Kingdom was well above normal (data were not available for Germany). The United States managed to maintain moderate levels around 3.2% over the 1970s, 1980s, and 1990s, but experienced a dismal 1.8% in the 2000s. The United Kingdom has come in below 3% in each of the decades since the 1960s with just 2.03% in the 2000s. Germany managed 3.08% in the 1970s but hovered around 2% in the 1980s and 1990s, dropping to just 1.15% in the 2000s. These data indicate that the United Kingdom and Germany have been stagnationist for the entirety of their post-Fordist regimes while the United States was able to achieve moderate growth for much the first two decades of the post-Fordist regime before it became fully stagnationist in its third decade. But as we now turn to see, US growth was debt led.

As Figure 30.6 shows, between 1995 and 2007, the debt-to-income ratio rose by 49% in the United States and 70% in the United Kingdom. In contrast, the ratio has

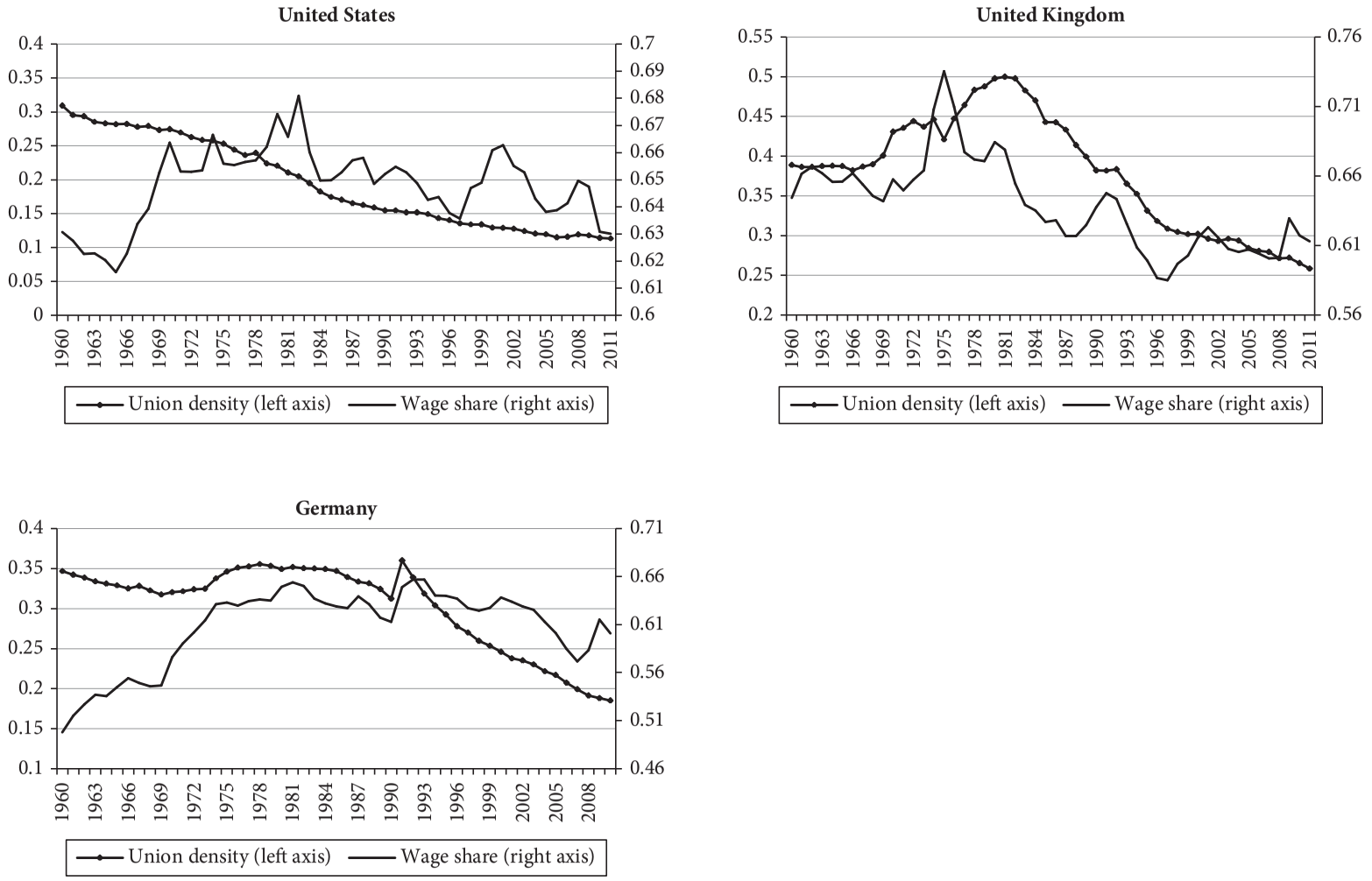


FIGURE 30.4. Labor's share of national income and union density, 1960–2011

Source: Union density: OECD. Wage share (Total employee compensation over Gross national income): AMECO database, European Commission.

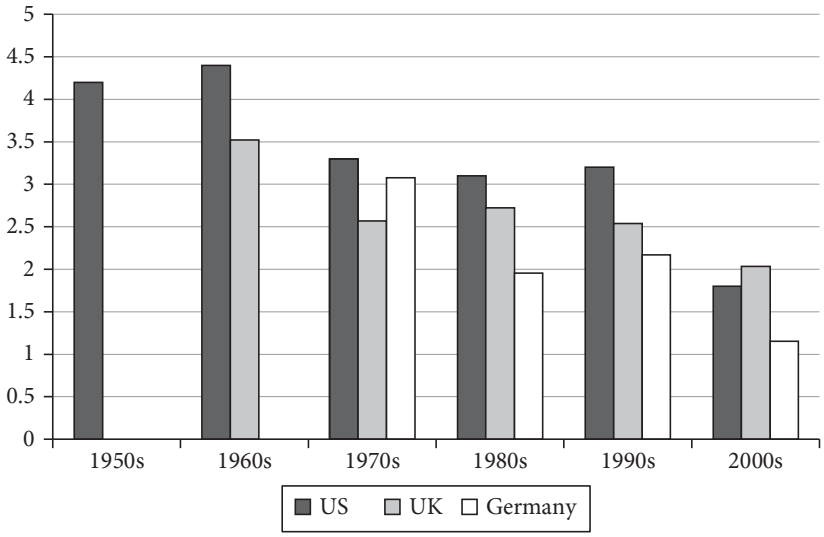


FIGURE 30.5. Average decennial GDP growth

Source: BEA (US), ONS (UK), World Bank (Germany).

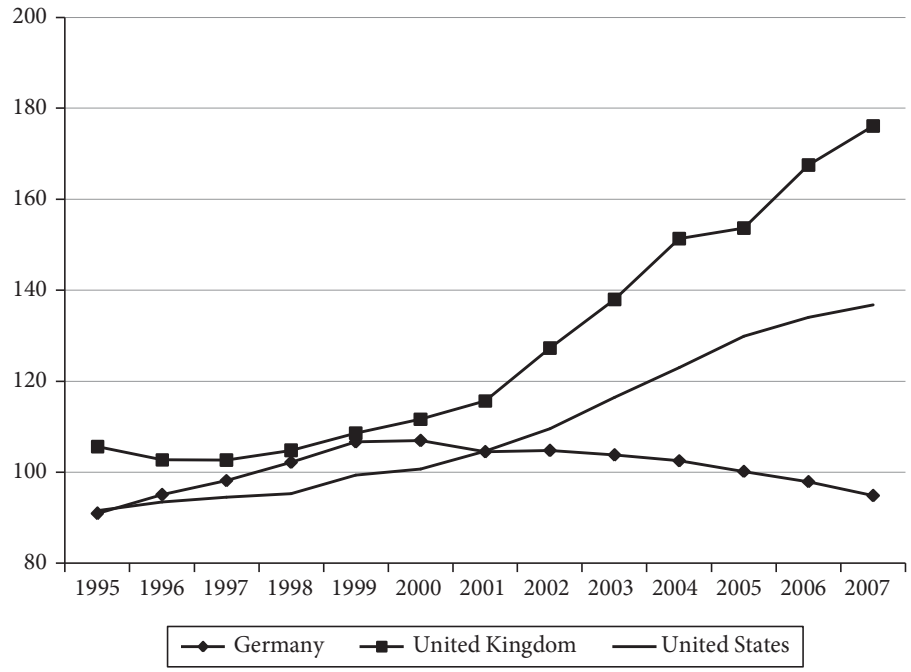


FIGURE 30.6. Household debt to income ratios, 1995–2007

Source: OECD; Eurostatf

been essentially stable in Germany, rising only by 4%, reflecting its comparatively low homeownership rate of 43%, versus around 70% for the United Kingdom and United States before the housing bubble burst and the financial crisis went global. In the United States, mortgages are the primary means of debt financing for most of the population, including home equity withdrawals, although low-income non-homeowners primarily turn to credit card debt. These data indicate that the higher growth rates in the United States were sustained in part by consumer debt. Macroeconomic demand-regime analysis provides further evidence that the United States is a debt-led regime, whereas Germany is an export-led regime (Onaran et al. 2010; Stockhammer 2012).

6. Discussion

The post-Fordist regime in the United States has been and continues to be dysfunctional insofar as it has not experienced a sustained recovery in the profit rate (despite a declining wage share for labor) and because it has maintained moderate growth levels for two of its three decades via debt-led growth. Its stagnant growth in the 2000s despite rising household debt suggests more serious problems associated with overaccumulation.

The post-Fordist regime in the United Kingdom has been and continues to be dysfunctional because it has not experienced a sustained recovery in the profit rate (despite a declining wage share for labor), and it has experienced four decades of stagnant growth. Stagnation began in the 1970s while the decline in labor's share and the partial profit rate recovery both began in 1980, suggesting a shift in the cause of stagnation from the profit-rate decline and overaccumulation under Fordism to underconsumptionism in the post-Fordist regime. Household debt rose but has not been sufficient to boost growth out of stagnation, suggesting it may not be a debt-led regime, although it is possible that growth would be even more dismal without credit-driven consumption.

Finally, the post-Fordist regime in Germany has been and continues to be dysfunctional because it has not experienced a sustained profit-rate recovery (although it did see a slight rise in the profit rate due to a declining wage share for labor) and because it has experienced three decades of stagnant growth. Its wage share did not begin a sustained decline until 1993, suggesting that the stagnant growth is not driven by underconsumptionism but largely by a consistently low profit rate, likely in combination with overaccumulation.

The macroeconomic analysis of dysfunctional post-Fordism is consistent with the crisis theory outlined above. Under Fordism the stagnationist tendencies were offset for nearly two decades. The crisis of Fordism, and in particular the declining profit rate, generated increased competition between capitals and struggle between classes. This, in turn, led to the manifestation of additional stagnationist tendencies along with a crisis of overaccumulation in the 1970s.

Stagnation and overaccumulation facilitated financialization, including the rise of new institutional logics such as the efficient market hypothesis and the Wall Street approach to mortgage lending (Vidal et al. 2015). The surplus of capital with a lack of sufficient outlets for productive investment in the United States led to rampant speculation through the development of esoteric financial instruments, a housing bubble, and predatory mortgage lending (Foster and Magdoff 2009). The global financial crisis that began in the United States in 2007 and spread across the globe is the form that a crisis of overaccumulation took under financialized capitalism and a confirmation of the limits of financialized, rent-oriented accumulation.

The foregoing analysis suggests that the dysfunctions of the post-Fordist accumulation regime—stagnation, overaccumulation, and financialized rent seeking; low profits and low, stagnating wages; debt-led growth; rising inequality—are structural problems of an ageing capitalist system. The golden years of Fordism were made possible by a unique conjuncture of multilateral agreement on capital controls and domestically oriented production, both of which facilitated domestic class compromise and high wages.

Neoliberalism is more a consequence than a cause of this malaise. Similarly, the liberalization of Europe is ultimately driven not by the EU as such but by the rise of finance following the crisis of Fordism. As Jessop (2012:100) has observed, the liberalization of Europe has been uneven—"radical neo-liberal regime shifts in some economies and neo-liberal policy adjustments in others." The implications are double edged. On the one hand, there remains some scope for regulation at the national level and, indeed, international level. To a certain degree, then, the question is political. Possible reforms include more pro-union laws and a return to sectoral collective bargaining; nationalization of key industries; Keynesian fiscal policy, industrial policy; and universal welfare entitlements, even basic income grants.

On the other hand, the root cause of the malaise lies in the structural contradictions of mature capitalism. The problems of continuous, simultaneous downward pressure on profits and wages—and a zero-sum game between the two—are endemic to post-Fordist (service-dominated, internationalized, financialized) capitalism. Any progressive reforms must contend with the discipline of global financial markets. Only a systemic turn away from private profits and private property will make possible a more egalitarian economy that can balance moderate levels of growth, rising living standards, and ecological sustainability.

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